

Customer Segmentation Business

Recommendations

This report summarizes actionable business strategies derived from the customer segmentation and churn prediction analysis. Customers were grouped into three segments using K-Means clustering based on tenure, monthly charges, and total charges. Segment-specific churn prediction models were trained using Random Forest classifiers. The following recommendations are designed to improve customer retention, increase lifetime value, and optimize marketing efforts.

Segment 0: Loyal High-Value Customers

Characteristics: Long tenure, high spending, and very low churn probability. These customers represent the most stable and valuable portion of the user base.

Recommended Strategies: Introduce loyalty reward programs. Offer premium upgrades and early access to new features. Provide dedicated customer support. Encourage referrals through incentive programs.

Expected Impact: Maintain high retention and increase customer lifetime value.

Segment 1: Moderate Spenders

Characteristics: Medium tenure and moderate spending levels with moderate churn risk.

Recommended Strategies: Provide personalized promotional offers. Offer bundled service plans. Encourage longer-term contracts with discounts. Increase engagement through targeted marketing campaigns.

Expected Impact: Increase average revenue per user and strengthen engagement.

Segment 2: High Monthly Charge Customers

Characteristics: Highest monthly charges and the highest churn risk. These customers generate significant revenue but require proactive retention.

Recommended Strategies: Deploy targeted retention campaigns. Offer personalized discounts for renewal. Improve premium service quality and responsiveness. Provide proactive outreach from customer success teams.

Expected Impact: Reduce churn among high-revenue customers and stabilize revenue streams.

Strategic Summary

Segment	Description	Churn Risk	Primary Strategy
Segment 0	Loyal High-Value Customers	Low	Maintain loyalty & premium service
Segment 1	Moderate Spenders	Medium	Increase engagement & upselling
Segment 2	High Monthly Charge Customers	High	Retention campaigns & incentives

Segment-driven analytics enables organizations to apply different retention strategies for different customer groups rather than a single generic approach. By focusing retention resources on high-risk and high-value segments, companies can reduce churn, improve customer satisfaction, and increase long-term revenue.